

ORIGINAL

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(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

April 1, 1993

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

RULING ON PARTIES' EVIDENTIARY OBJECTIONS

Pursuant to an agreed scheduling order the parties were directed to identify, with respect to all written direct testimony (including all exhibits and appendices thereto), the specific portions as to which they will oppose admission to the evidentiary record at the hearing. Complainants and respondents have filed numerous objections to the direct testimony and exhibits of many persons who are designated as witnesses to be cross-examined. The objections extend over more than 200 pages and relate to 43 affiants and their exhibits. The grounds for the objections include, *inter alia*, that the testimony is

conclusory, inflammatory, argumentative, incompetent, hearsay, irrelevant, hypothetical, without a foundation, self-serving, immaterial, lacks personal knowledge, is cumulative, speculative, ambiguous, contains prejudicial verbiage, inadmissible lay opinion, assumes facts not in evidence, violates Federal Rules of Evidence Nos. 402, 420, 602, 611, 701, 802 and 1006, and violates Commission Rules of Practice Nos. 502.157(a), 502.157(1), 502.156. A ruling on these objections prior to the hearing will minimize the number of preliminary matters to be disposed of before the cross-examination begins and will enable counsel to finalize their preparations for the hearing.

This Commission's rule on admissibility of evidence contemplates that "[a]ll evidence which is relevant, material, reliable and probative, and not unduly repetitious or cumulative, shall be admissible." 46 C.F.R. § 502.156.

As pointed out by American President Lines, Ltd., in recognition of these liberal standards of admissibility in administrative hearings, the Commission has repeatedly identified the need for considerable relaxation of the rules of evidence followed by the federal courts in proceedings before the Commission. *Matson Navigation Co. -- Proposed General Rate Increase of 3.6 Percent*, 25 SRR 943, 944 (ALJ 1990) ("the stricter court rules as to admission of evidence are considerably relaxed in Commission as well as other administrative proceedings"); *Sanrio Co. v. Maersk Line*, 19 SRR 1627, 1635 (ALJ 1980); *Unapproved Section 15 Agreements -- South African Trade*, 7 F.M.C. 159, 167-68 (FMC 1962). Among other things, the rules barring admission of hearsay evidence are greatly diluted in Commission proceedings. *United States Lines (S.A.) -- Petition For Declaratory Order Re The Brazil Agreements*, 25 SRR 755, 767 (FMC 1990); *Port Authority of New York and New Jersey*

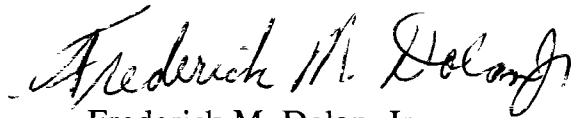
v. New York Shipping Association, 22 SRR 1217, 1219-20 (ALJ 1984) (and cases cited therein); *Agreement No. 10286*, 18 SRR 1528, 1532 (FMC 1979). Evidentiary rules limiting the admissibility of opinion evidence in courts are also generally inapplicable. *Brockton Taunton Gas Co. v. SEC*, 396 F.2d 717, 721 (1st Cir. 1968); *Swift & Co. v. United States*, 317 F.2d 53, 55 (7th Cir. 1963); see also 4 Stein, Mitchell and Mezines, *Administrative Law* §§ 28.01 and 28.04; 4 *McCormick on Evidence* (John William Strong, ed. 4th ed. 1992) § 355.

The Commission has explained that a major reason for rejecting application of technical exclusionary rules of evidence is that this agency, unlike the lay juries for whom the exclusionary rules were meant, is presumed competent to judge the weight that should be given evidence. *Unapproved Section 15 Agreements -- South African Trade*, 7 F.M.C. at 167. The disruptive and delaying effect of technical evidentiary disputes is a second reason identified for the more relaxed approach adopted here. In finding that many evidentiary disputes can more suitably be addressed when considering the weight the evidence should be accorded rather than in terms of whether the evidence should be admitted at all, the Commission has explained:

We simply point out that evidence which appears to satisfy the nonrigorous standards of our rule ought to be received promptly and without controversy grounded upon technical exclusionary rules. If upon consideration of the whole record it is found that some of the evidence so admitted is not substantial and should be disregarded in formulating the proposed agency action, that can readily be done. We doubt that any harm flows from such procedure but if it does it is small indeed in comparison with that occasioned by needless squabbles over strict evidentiary principles.

Unapproved Section 15 Agreements -- South African Trade, 7 F.M.C. at 168. Ultimately, "the harm does not lie in admitting what may be unreliable evidence initially but in basing a

decision on such evidence, i.e., in failing to sift out such evidence from reliable evidence when reaching a decision." *Port Authority of New York v. New York Shipping Association*, 22 SRR at 1219. Reviewing courts hold that objections based on technical exclusionary rules such as the hearsay rule are largely inappropriate. Arguments about the quality of the evidence are more appropriately addressed in post-hearing briefs to the weight to be accorded the evidence rather than its admissibility. All the objections of the parties dated February 16, 1993, have been evaluated and carefully considered. In the circumstances all the objections are overruled. However, the objections and supporting arguments will be carefully considered in determining the weight to be given to the challenged testimony and exhibits.


Frederick M. Dolan, Jr.
Administrative Law Judge